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Recycling with the Best

Weekly Ship Recycling Report

02 March 2024 - 13 March 2024

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Highlights of the week

We extend our warmest wishes to our readers observing the month of Ramadan. May this period of reflection and community bring you peace and prosperity

The ship recycling markets across India, Bangladesh, Pakistan, and Turkey showcased varied dynamics. India's market initially displayed stability but soon faced a downturn, indicating a decreasing trend in performance. Bangladesh's market continued its phase of cautious buying, with buyers preferring to negotiate for vessels at lower prices, leading to a lull in aggressive buying activities. Pakistan observed a period of calm, marked by a stagnant market with no significant shifts or events. Conversely, Turkey experienced a notable downturn, with vessel prices significantly falling by $10 to $15, exacerbated by a supply shortage due to optimistic freight market prospects driving up demand and limiting vessel availability.

In light of recent forecasts by Fitch Ratings, the availability of ships for recycling could see varying levels, influenced by forecasted short-term profit gains for international shipping firms. These gains are primarily driven by freight rates that remain high enough to counterbalance the expenses associated with diverting ships away from the troubled Red Sea, where attacks on commercial vessels persist. Despite these challenges, the shipping industry is not anticipated to undergo significant structural transformations. Nevertheless, the upward pressure on freight rates is expected to continue into the medium to long term, fueled by rising operational costs, increased charges at ports, and the economic demands of complying with more stringent environmental regulations. Therefore, although we might not witness an immediate increase in the number of vessels heading for recycling, the shifting economic conditions are poised to shape the trajectory of ship recycling activities in the foreseeable future

Exchange Rates:

USD / INR

This Week	82.84
Previous Week	82.86
Gained	0.02

USD / BDT

This Week	109.77
Previous Week	109.79
Gained	0.02

USD / PKR

This Week	278.96
Previous Week	279.24
Gained	0.28

USD / TRY

This Week	32.08
Previous Week	31.30
Lost	0.78

India

Market experiences brief Stability before re-entering a downward trend.

- The market showed relative stability during the first week of March, particularly on the 1st and 2nd, but it has experienced a downturn since the beginning of this week. The market's performance has been declining from the start of the week, indicating a downward trend.

- In this region, the only positive aspect at the moment is the favorable exchange rate between the rupee and the USD.

- The sponge iron industry is currently facing a significant challenge due to an 'ore shortage', which is adversely affecting steel production. In response to the ore shortage, the industry is seeking a ban on exports to mitigate the impact on domestic production and ensure a steady supply of raw materials.

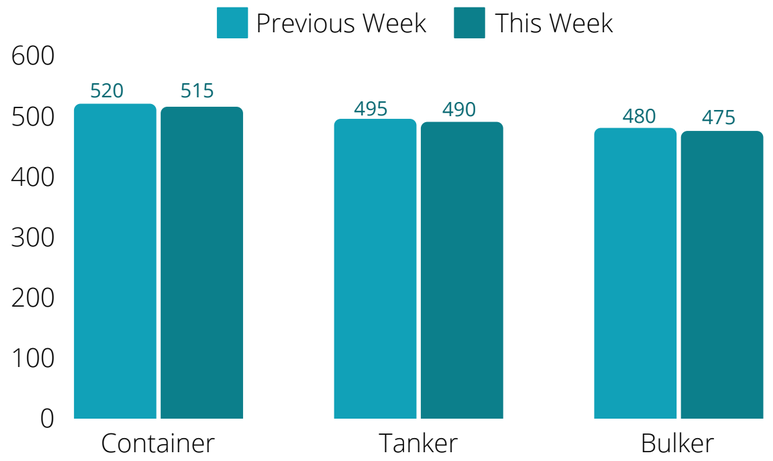
Beaching Dates

13 March to 15 March 2024

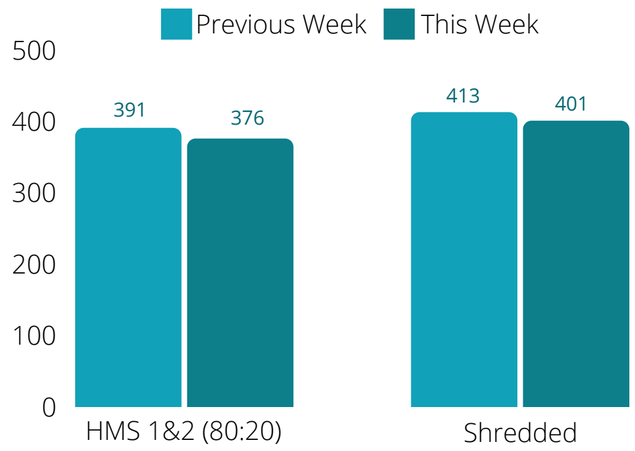
26 March to 30 March 2024

06 April to 13 April 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded

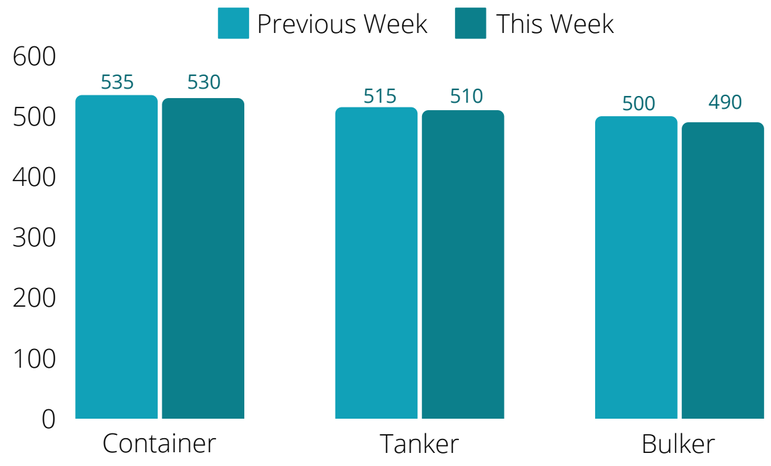


Bangladesh

Market softness prevails with cautious buyers and subdued ship recycling activity.

- The market is experiencing a period of softness, characterized by a cautious approach from buyers. This attitude reflects a preference for securing vessels at reduced prices.
- There is a notable absence of aggressive sales or significant actions.
- The economic instability has significantly impacted the country's private sector, resulting in an unprecedented scenario where the volume of loan repayments has surpassed the issuance of new loans. This trend indicates a cautious or constrained borrowing environment, as businesses navigate through the challenges of higher borrowing costs and economic uncertainties.

Price for Recycling Ships in Bangladesh



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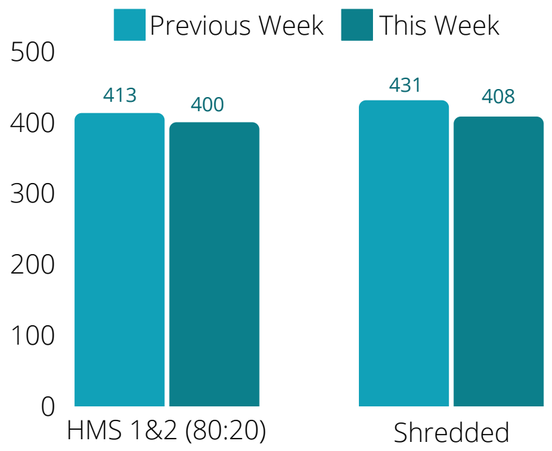


Beaching Dates

13 March to14 March 2024
25 March to 28 March 2024
08 April to 11 April 2024

Pakistan

Market experiences prolonged period of stagnation amid absence of significant events.

- The local market has been experiencing a period of relative calm for some time. This period of inactivity is characterized by a lack of significant changes or notable events within the market.

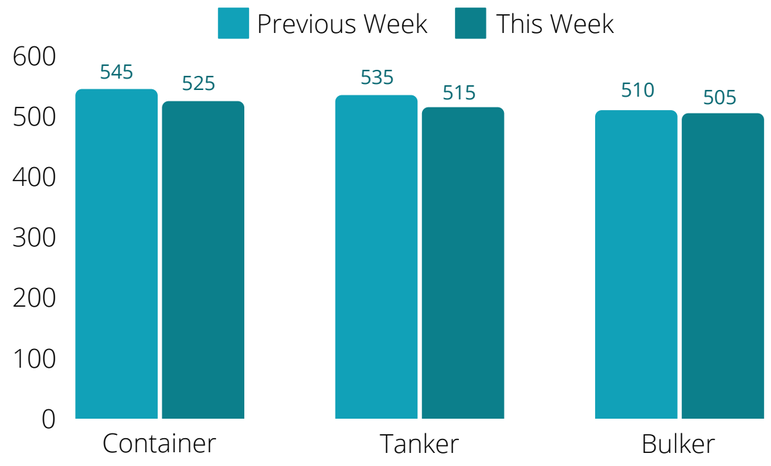
- The delegation from the MF is set to visit Pakistan during the middle of the week to conduct an economic assessment associated with the USD 3 billion Stand-By Arrangement. In parallel, it is expected that a proposal for a new loan program, valued between USD 6-8 billion, will be submitted.

- The Pakistan Steel Mills (PSM) has requested the governments assistance in reclaiming extensive areas of its land currently occupied by unauthorized settlers.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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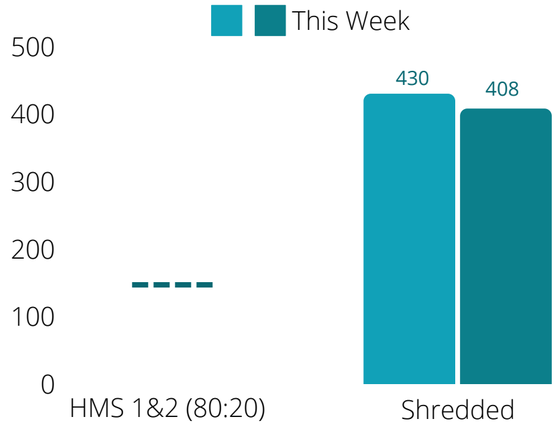


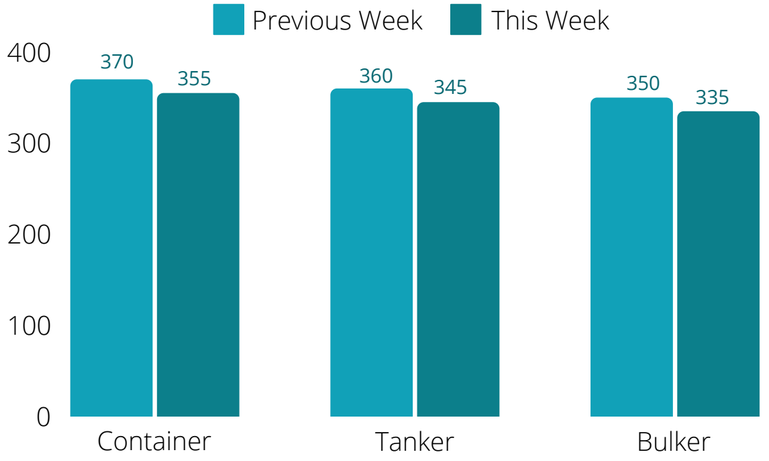
Türkiye

Market slump and vessel price reduction driven by supply constraints.

- The market is currently in a downturn, with vessel prices experiencing a significant decline, dropping by 10 to 15 USD. This trend is compounded by a shortage in supply, primarily attributed to the optimism surrounding the freight market, which has led to heightened demand and constrained availability.

- Turkish banks have received directives to allocate a portion of their lira required reserves into blocked accounts. This measure is anticipated to constrict liquidity within the banking sector and lead to an increase in deposit rates.

Price for Recycling Ships in Türkiye



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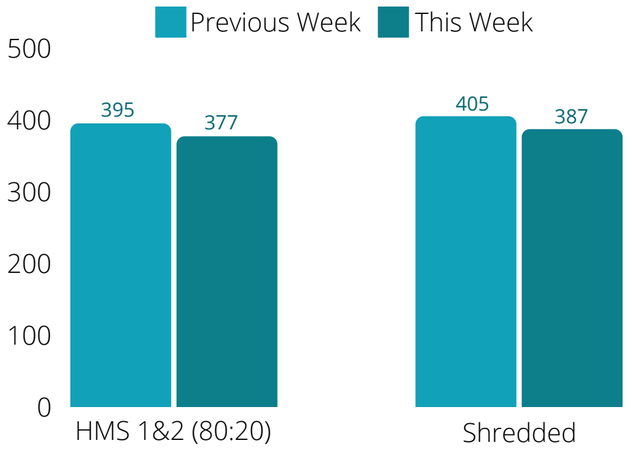
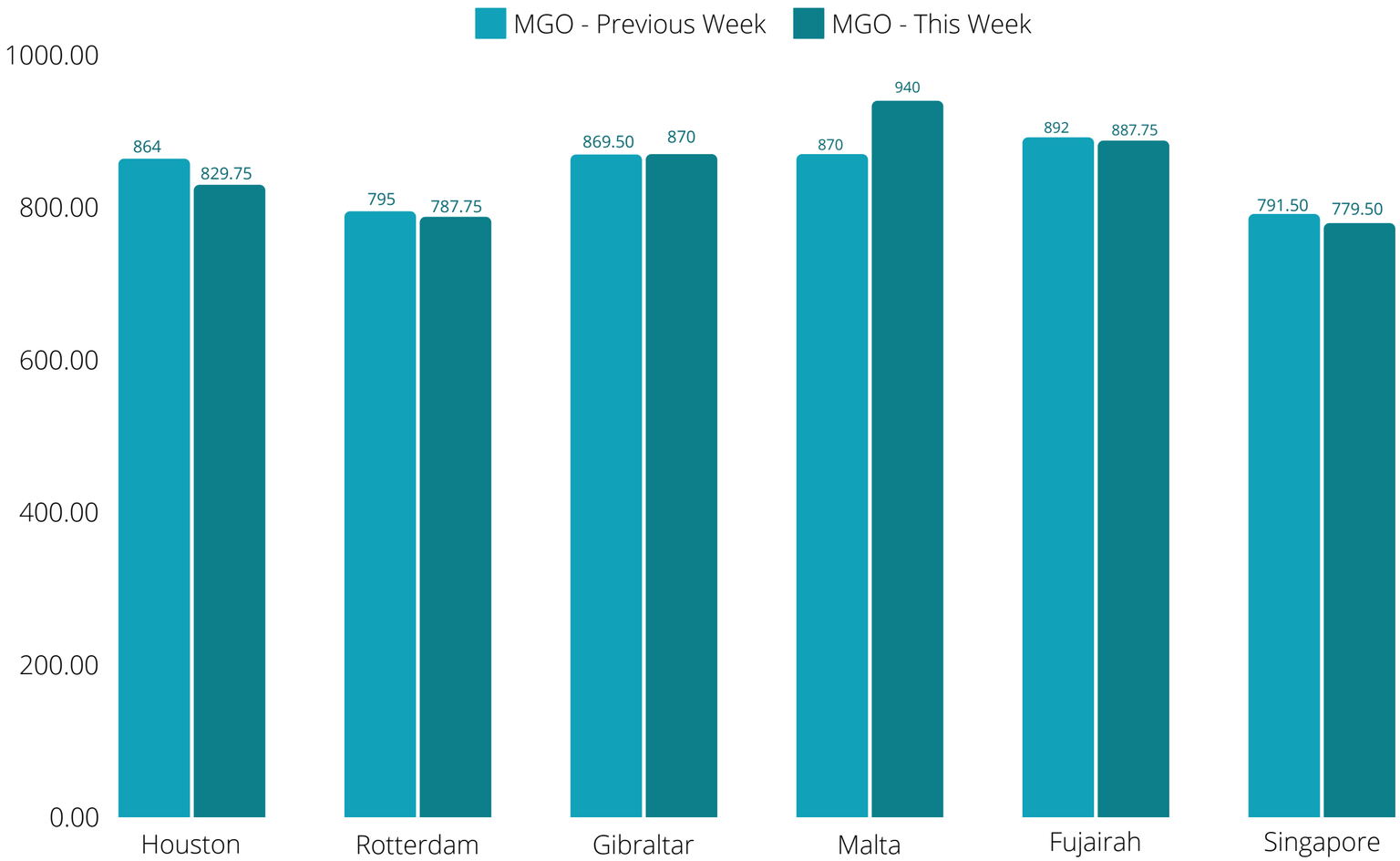


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 83.37
Previous Week	: 82.71
Movement	: + 0.66

WTI Crude

This Week	: 79.05
Previous Week	: 79.06
Movement	: + 0.1

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
ISL STAR	BULKER	9207326	1999	JAPAN	10,177	DELIVERED	CHITTAGONG,BANGLADESH	528
MERATUS MEDAN 2	CONTAINER	9014092	1991	JAPAN	7,284	AS - IS	JAKARTA, INDONESIA	UNDISCLOSED
BOS LINA	GENERAL CARGO	9007350	1991	JAPAN	3,287	DELIVERED	ALANG, INDIA	505
LIAN FENG 6	BULKER	9175432	1999	CHINA	6,537	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
EASTERN TIGER	MOTORTANKER	9172741	1997	JAPAN	2,624	DELIVERED	FULL SUBCONTINENT DELIVERY	UNDISCLOSED
DHAFI	PASSENGER	8509026	1987	GERMANY	6,040	DELIVERED	GADANI, PAKISTAN	UNDISCLOSED
MSC ROSSELLA	CONTAINER	9065443	1993	SOUTH KOREA	13,305	DELIVERED	ALANG, INDIA (HKC) YARDS AS PER MSC LIST	575
HONG YUN YOU 19	TANKER	8981781	1999	CHINA	2,579	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED

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